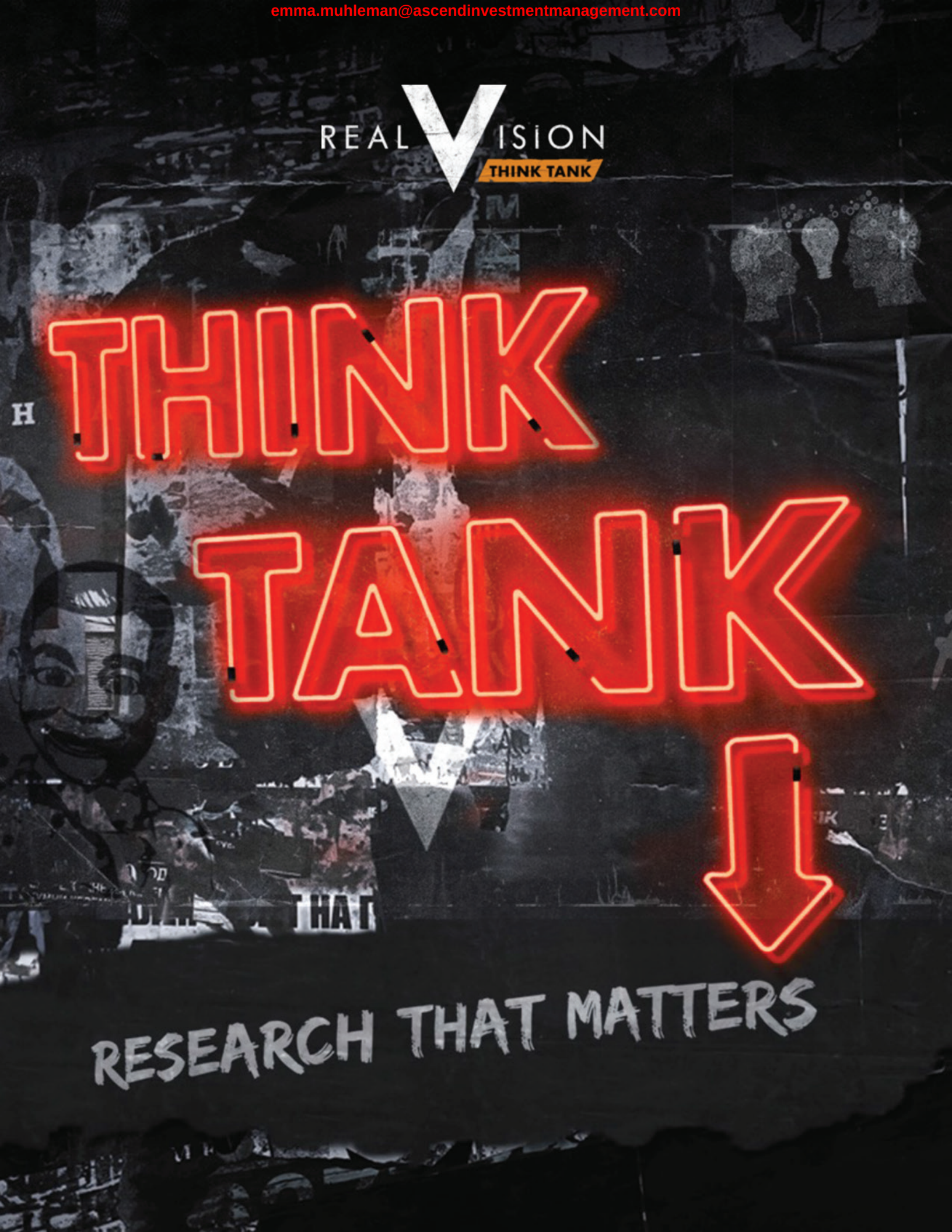
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THE DISTILLERY

A distillation of the thinking of 30 of the world's best financial researchers combined with an analysis of the most important market drivers each week.

APRIL 18, 2018

Hello,

Welcome to ***The Distillery***, packed with all the latest developments and the condensed wisdom of the best independent thinkers in finance, economics, and markets.

Here are this week's ingredients:

- **Charts that matter: Testing times for China bulls, Europe disappoints**
- ***The Market Drivers*: The give and take of China liquidity**
- ***On The Radar*: The sagging US vs. the soaring German autos**
- ***P.S.* Floating two ideas on floating rate rises**

In The Spotlight

- **J Capital Research – Who's Afraid of Falling GDP Growth?**
- **The Bear Traps Report – Late Cycle Mojo in Energy**

Take a neat shot of the markets with us now.

Milton



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THE WEEK IN CHARTS

A distillation of the key themes that are driving markets. Not what happened, but why it happened. Hear what are our contributors are saying and why they're saying it.

CHANGES IN CHINA

Chinese equities (SHCOMP) have been testing their two-year trend, losing 5% over the five days to Tuesday.

SHCOMP TWO-YEAR TREND



Source: RV TT & Bloomberg

Authorities cut the Reserve Requirement Ratio for 'qualified banks' on Wednesday, but are the Chinese authorities gently taking their foot off the pedal? Chinese liquidity and the actions of the PBoC have been a key factor in analysis by CrossBorder. Are they seeing any change? We update their analysis in *The Market Drivers* section.

SIGNS OF SLOWDOWN

This year has seen a stunning decline in European economic surprises. Whereas 2011–2012 brought negative surprises from a low-level expectation, today's negative surprises have started from a much higher level. The decline is, however, still spectacular.

THE FALL OF THE CITI EUROPEAN ECONOMIC SURPRISE INDEX



Source: RV TT & Bloomberg

Who are the culprits? Some have blamed the accelerated normalisation of the ECB's monetary accommodation. For others, the rising euro has been a drag on growth, driving persistent underperformance of the European equity market versus the US (although Europe has recently experienced a relative bounce). Could it be the extreme weather impact of 'the Beast from the East'? That would be the lazy explanation.

In reality, tightening conditions and a strong euro start to matter more when global growth momentum begins to turn. Will there be an ECB U-turn? Eurizon note that

> *The whole thesis to justify continued monetary normalisation was not that inflation would reach 2.0% (at no time in the forecast horizon does the ECB show an expected inflation rate above 1.7%), but robust economic growth that would imply healthy inflation.*
>
> *But if growth decelerates, this thesis will be harder to defend.*

CrossBorder are also concerned:

> *Latest liquidity data show deteriorating Eurozone conditions. This isn't good news, but it is consistent with our view that the Eurozone economies are mid-cycle and that the rise of the Euro is likely to impede economic growth from around mid-2018 onwards.*

The euro is at a key juncture. Will inbound flows to the Eurozone start to slow with the decline in European growth momentum?



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EUR: WHICH WAY FOR THE WEDGE?

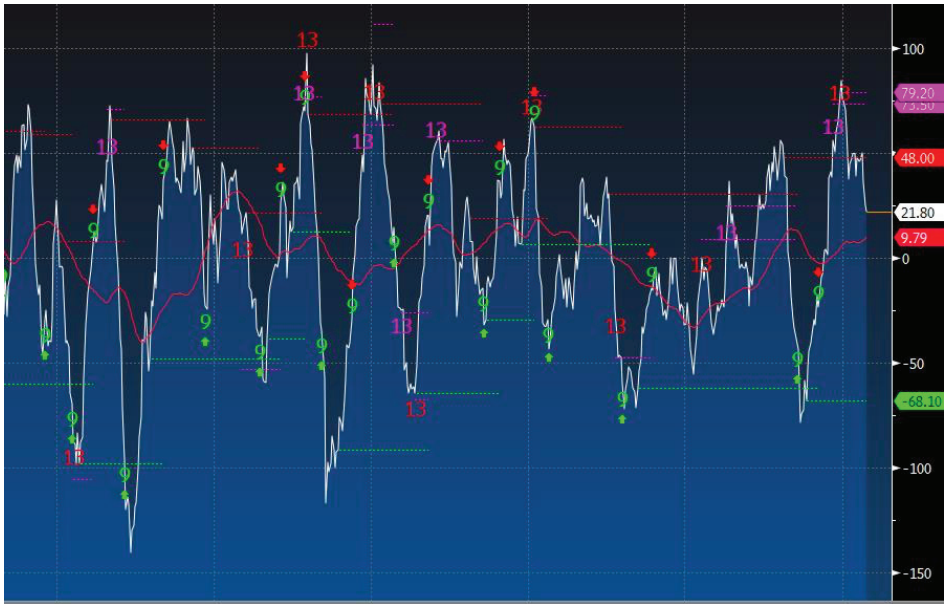


Source: RV TT & Bloomberg

If the euro breaks higher, the EURO STOXX will likely make another new low versus the US markets, despite the latter's excessive valuations.

But if it's push-pull factors that matter, maybe the performance of US data is not that far behind. Thomas Thornton of Hedge Fund Telemetry has 'DeMarked' the Citi US Economic Surprise Index. It looks like it's headed lower from a DeMark 13 top.

TOM THORNTON'S VIEW OF US DATA SURPRISES



Source: RV TT & Bloomberg

A zero reading looks to be on the cards, with a decent chance that we can target -50. However, with ISM Manufacturing hovering around the 60 mark, this is again a disappointment from a very high base, rather than a descent into economic doom.

Lakshman Achuthan of ECRI is featured on RealVision this week ('A Risky Turn in the Business Cycle') and notes that their lead indicators imply that US economic momentum could remain on a downward trajectory well into Q3.

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THE MARKET DRIVERS

What are the big themes that are getting our contributors excited or keeping them awake at night? These are the trends you can't afford to miss.

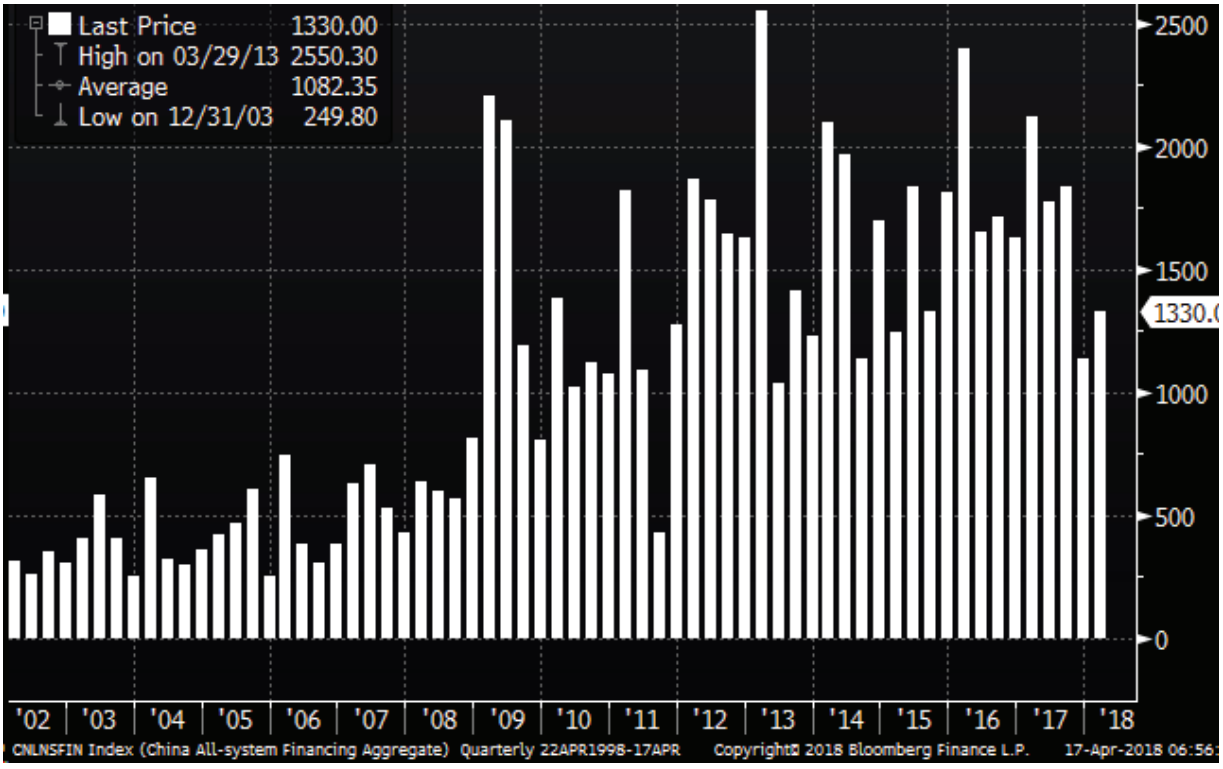
TIGHTER CREDIT BUT LOOSER RATES

CrossBorder Capital have warned that credit from China is tightening. Their core view remains that a decline in credit momentum will be a fleeting event:

> *We see low odds of People's Bank (PBoC) monetary tightening in 2018, but we must accept recent sharp drop in balance sheet (-11% ann. 3m growth).*
>
> *The latest monthly, and even daily, liquidity injections give us some concern.*

The April 18th cut in the Reserve Requirement Ratio suggests that China is still committed to liquidity, but this is a 'fast twitch' tool to manage shorter term scenarios. Longer term credit trends tell a different story. Comparing the Q1 total aggregate financing (credit injection) from 2018 versus 2017 and 2016, we can see the size of the decline in credit growth. The absolute size is still positive and large, but relative to an economy that continues to grow (6.8% at the last reading), the impulse should be falling.

CHINA AGGREGATE FINANCING



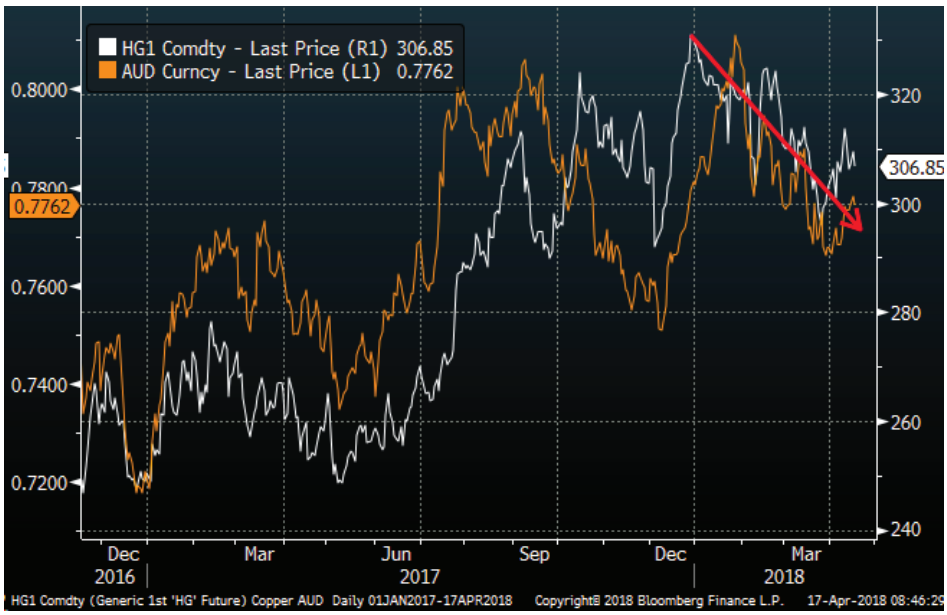
Source: RV TT & Bloomberg

We noted in previous publications that the change in the second tier of Chinese leadership pointed to a push toward sustainable rather than stable growth. That path would imply some loss of current liquidity-led economic momentum in order to slow the buildup in debts. China's GDP growth number remains 'rock solid' at 6.8%, with a healthy consumer.

GLOBAL KNOCK ON

There are, however, nascent signs that global macro indicators with a strong correlation to China's growth are struggling. The Aussie dollar and copper, both in an upward trend, have been on the back foot for much of 2018.

COPPER AND AUD



Source: RV TT & Bloomberg

The same trend can be seen in the relative performance of the European Resource sector (SXPP) versus the STOXX 600 index. The mining heavyweights of Glencore, Rio, Billiton, and Anglo American make up 55% of the index. This year's high in the ratio was achieved on diverging momentum. If China is taking a back seat, this ratio should break the trend. The outperformance that's following on from the Chinese RRR cut could be a good entry point.

RATIO OF EUROPEAN MINERS (SXPP) AND EUROSTOXX600



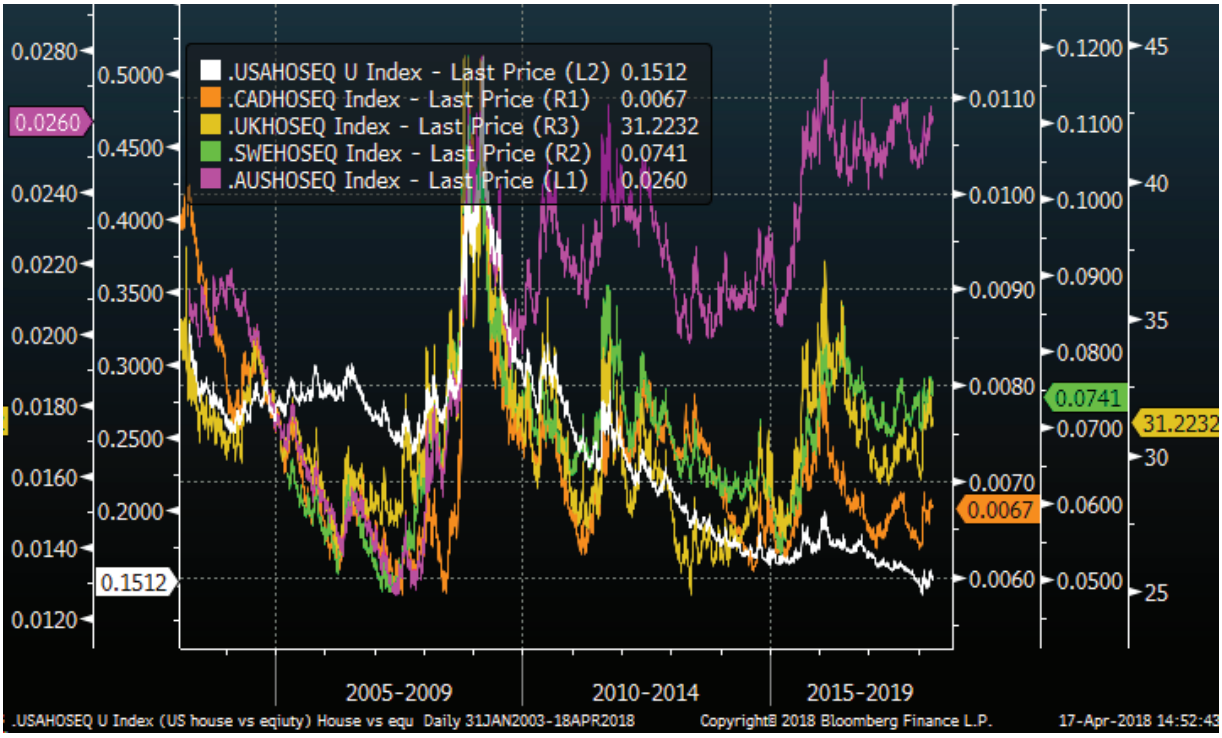
Source: RV TT & Bloomberg

How will Australian housing fare if China chooses to turn down the tempo of new credit? That's a favorite subject of Grant Williams (TTMYGH). Grant recently highlighted that homebuyers' borrowing capacity could be significantly cut. According to UBS,

> *Mortgage funding for the big banks would fall from close to $300 billion over the past two years to $222 billion in 2019, and housing credit growth would flatline.*

Australia has been one of the major beneficiaries of QE flows that have helped the housing market soar versus the local equity market. Most other housing markets have underperformed their respective equity markets.

RATIO OF AUSTRALIAN HOUSE PRICES VS. LOCAL EQUITY INDEX (COMPARED TO CANADA, UK, SWEDEN, AND US)



Source: RV TT & Bloomberg

Variant Perception recently pointed out that the big Australian banks enjoy near-monopoly status. Four commercial names account for nearly 80% of the AS51BANX Index. (Macquarie accounts for another 16%.) Betting against these giants has created an elephant's graveyard over the years, largely because of the whopping 5.57% dividend yield that these companies still provide in an income-starved world. Is it finally time to short them?

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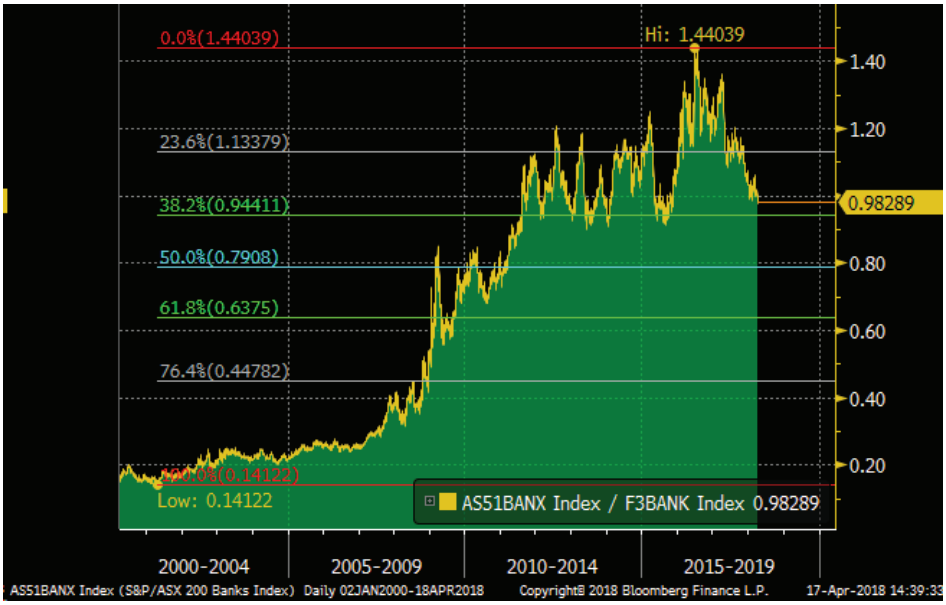
AS51BANX – AUSTRALIAN HOUSING MARKET



Source: RV TT & Bloomberg

Australian banks survived the stress test of the financial crisis partly because of the ongoing inflows into superannuation (pension) funds and China's credit-driven fixed-asset investment demand for commodities. A peak in global QE, a less aggressive China (with a shift from fixed-asset investment to consumer spending – allegedly), and a tightening of lending conditions may finally turn the tide. To offset some of the dividend issues, perhaps pair Australian banks (5.57% div yield) with UK banks (4% yield). The 0.94 level on the ratio of AS51BANX (Australia) vs. F3BANK (UK) looks key.

RATIO OF AUSTRALIAN VS. UK BANKS (LOCAL CURRENCY)



Source: RV TT & Bloomberg

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THE SPOTLIGHT

A focus on this week's two contributors and what they've been saying – and why it's a must-read on markets.

J CAPITAL RESEARCH

JCAP

This week we debuted an invaluable new contributor, Anne Stevenson-Yang of J Capital Research ("J Cap"). Anne is an expert on China, with deep knowledge of Chinese politics, monetary policy, and GDP-targeting and gets her insights first hand by doing research on the ground throughout China. She has been featured on Real Vision TV, offering her insights on the development of China and the 'state-of-the-world' today.

In J Cap's **Primary Insight**, the firm shares its macroeconomic and sector views, informed by primary research and data collection. J Cap explores market bubbles, investment fads, and under-appreciated growth sectors, **with a special emphasis on tracking the Chinese economy**. Themed equity ideas are explored in their biweekly "Inside Commentary."

WHAT ABOUT RIGHT HERE, RIGHT NOW?

In this week's report, "Who's Afraid of Falling GDP Growth," J Cap exposes the political dynamics behind China's decade-long investment and capital spending boom, helping those from the outside looking in understand the 'how' and 'why' around the 'Chinese Miracle.' Based on primary research, the results of which are included in Tuesday's report (published April 17, 2018), J Capital discusses the astonishing lengths provincial leaders will travel to deliver up the highest 'GDP' growth report back to Beijing. In Tuesday's release, J Capital notes:

> ***"Tearing it down to rebuild…***
>
> *…The great majority of Chinese investment, directed as it is, to industrial SOEs and local governments, is targeted to non-productive assets – empty housing developments, airports without scheduled flights, solar and wind farms that are not connected to the electric grid. All of those facilities create GDP growth for China, but the same facilities will quickly become a cost and need to be supported with fresh debt.*
>
> *…Coming to the end of their ability to find investment projects, some cities have adopted a strategy of destroying new but unused buildings and public facilities in order to make room for more, since the construction activity adds to GDP.*
>
> *The city of Xuzhou, Jiangsu, tore down a train station three times in order to rebuild it."*



THE BEAR TRAPS REPORT

Featured weekly on CNBC in financial centers across the globe, Larry McDonalds coveted "Bear Traps Report" is used by financial advisors, family offices, hedge funds, portfolio managers, trade desks and retail investors alike to manage global geopolitical risk. The Bear Traps Report provided through Real Vision Think Tank also includes Larry's latest trades, including new positions and weights, where he is cutting/adding, and when to sell what and by how much. In the Bear Traps Report, Larry provides a thorough, cohesive background to help everyone understand the logic behind his trade recommendations. We're lucky to bring you this publication, one of Real Vision subscribers' favorites.

LAST TIME AROUND...

At the end of January, in Larry's Bear Traps Report entitled "Paradigm Shift in Rates," Larry discussed his views on the crowding of investors in the so-called "Risk Parity" trade, which he outlines in detail as a de facto long disinflation position.

> *"One of the fundamental problems with this strategy is you're effectively really just long disinflation. Sure, it has worked very well in the post great financial crisis period, but it's a grossly crowded trade and has all the makings of a gruesome slaughterhouse. So in this case, the risk tail is a period where equities and bonds fall together, which is not that uncommon in a late cycle inflationary environment."*

That call proved to be quite prescient, as it was released January 30th, six days before February 5th's volatility explosion, during which correlation between bonds and equities rose rapidly and equities gyrated unlike anything we've seen in years, whipsawing 1,000 points to the downside in a period of eleven minutes.

WHAT ABOUT RIGHT HERE, RIGHT NOW?

Larry has now shifted his focus to the energy complex, reflecting on the relative underperformance of oil-related equities over the last year relative to the commodity itself. The XLE (Oil equities)-to-WTI ratio looks to have bottomed. Fundamental drivers of a rising oil price include low capital investment from management teams who were reluctant to invest, plagued by uncertainty regarding potential ROI as oil (upstream/E&P) investments can take half a decade or more to begin producing yields. This cycle has a naturally self-reinforcing (or self-regulating) mechanism, common to commodity businesses, where managers go crazy on capital spending while prices are high, which then drives prices down. The sector then becomes plagued by overcapacity and this reduces marginal production while prices turn back up. Larry has strong conviction in this trade and sees E&P names **(ETF: XOP)**, MLPs, and shale operators as the most attractive opportunities.



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ON THE RADAR

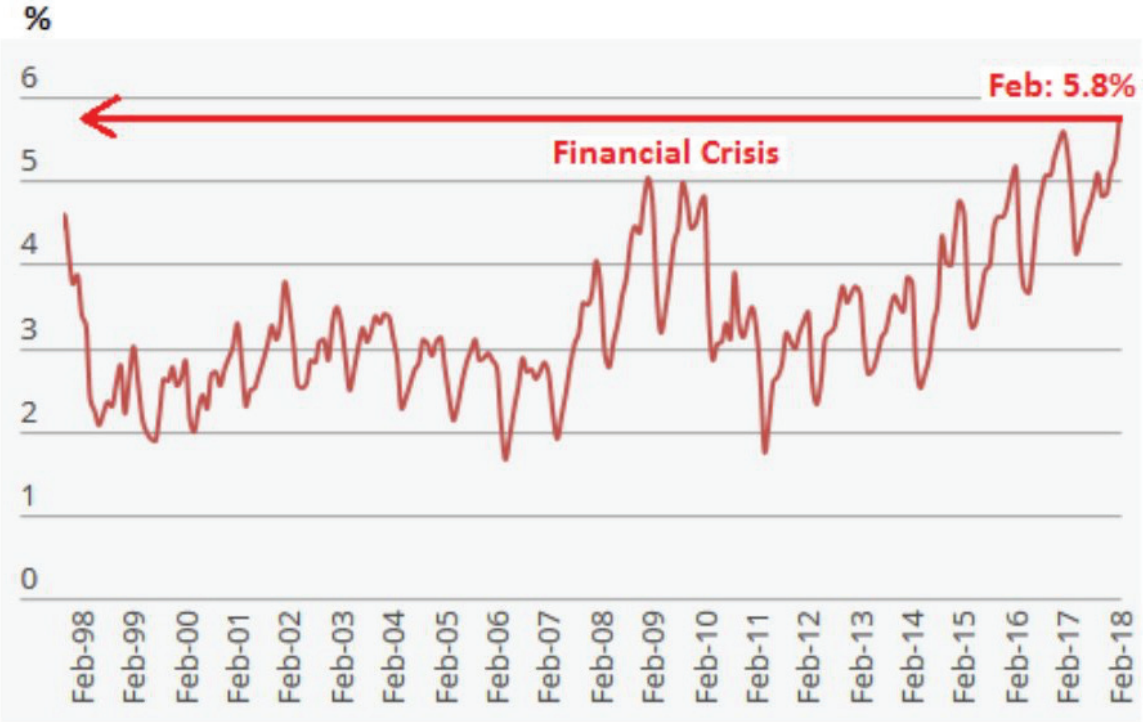
KICKING CARS

The demise of the US auto industry has been on many people's radar for years. But, ignoring the special case that is Tesla (see Grant Williams' critique in TTMYGH, published on Think Tank last week), there's a lot that's in the price of the US names. We've been assailed by charts of the impending implosion of auto subprime.

13D highlighted the following chart and commentary from Wolfstreet:

> *Fitch, which rates these auto-loan ABS, tracks the performance of the underlying subprime auto loans. The index of its 60+ day delinquency rate of subprime auto loans has now risen to 5.8%, up from 5.2% a year ago, and up from 3.8% in February 2014. It's the highest rate since October 1996, higher even than during the Financial Crisis. Note the strong seasonality:*

WORSE THAN DURING THE FINANCIAL CRISIS

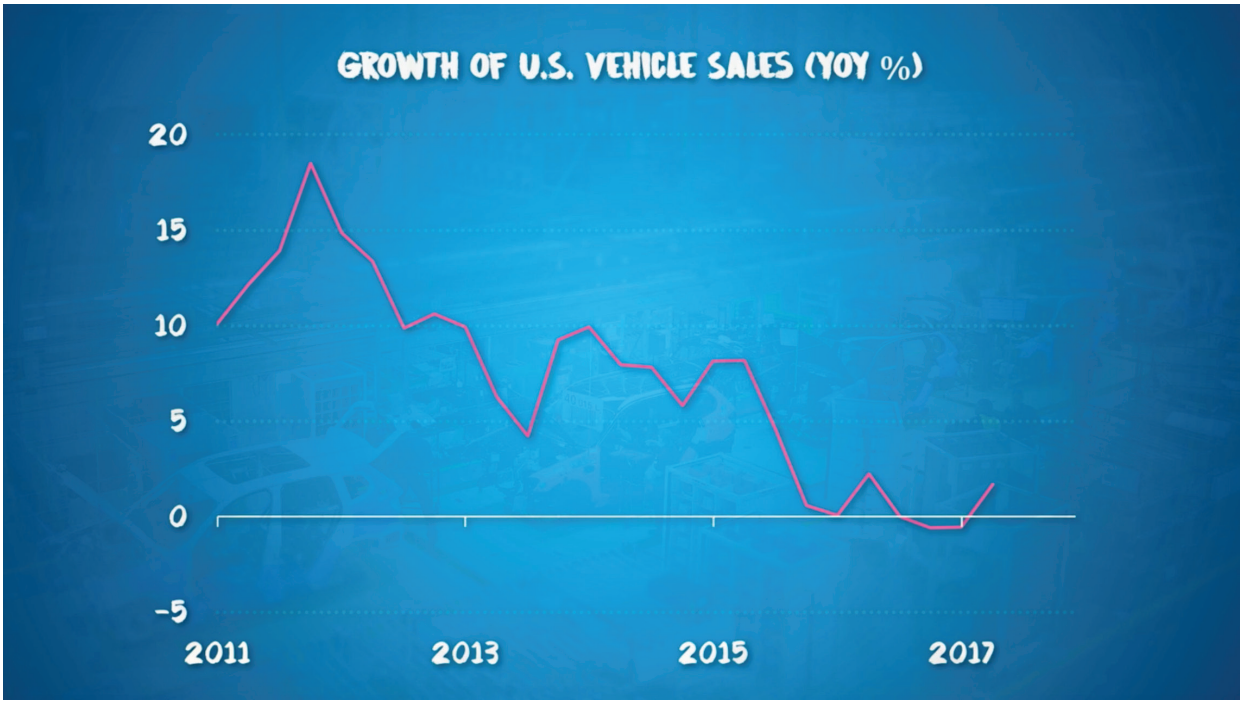


Source: Wolfstreet

The shift to a driverless society is edging toward a reality, although the time gap between partial versus fully automated driving remains a source of extreme debate. Robin Chase, CEO of Zipcar, outlined the upside and the downside opportunities:

> *Driverless tech is expected to add at least $7 trillion to the global economy in the next three decades.*
>
> *But at the same time, it could devastate the auto industry and related businesses.*

The growth in annual US auto sales looks to have peaked. Few would expect the current bounce off the zero-growth line to last.



Source: RealVision TV

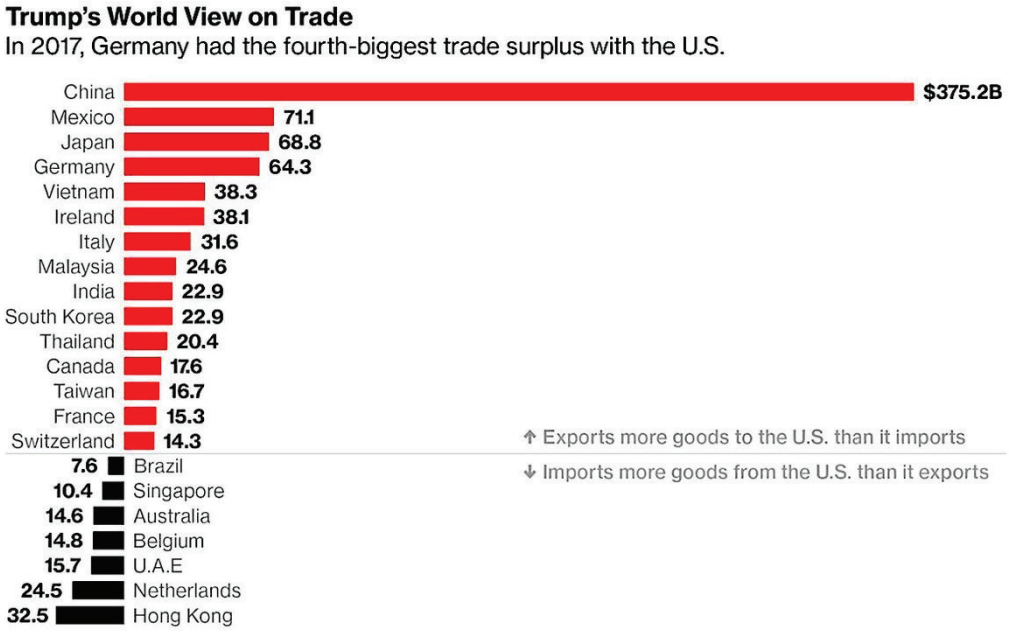
But US automakers' share prices are already in the doldrums. The US opportunity is therefore squarely with the auto finance names. Economist Max Wolff of the Phoenix Group focuses on US consumer auto lending and argues:

> *I think the best years of loaning to an increasingly debt-stretched American middle class, which is now apparently about to miraculously cash in on the recovery that's so far whizzed by them at a high rate of speed, is overdone.*

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TAKING AIM WITH THE BLUNDERBUSS

When it comes to countries that are in the US's trade dispute crosshairs, China clearly has the largest target on its back. Germany, however, is in the chasing pack.



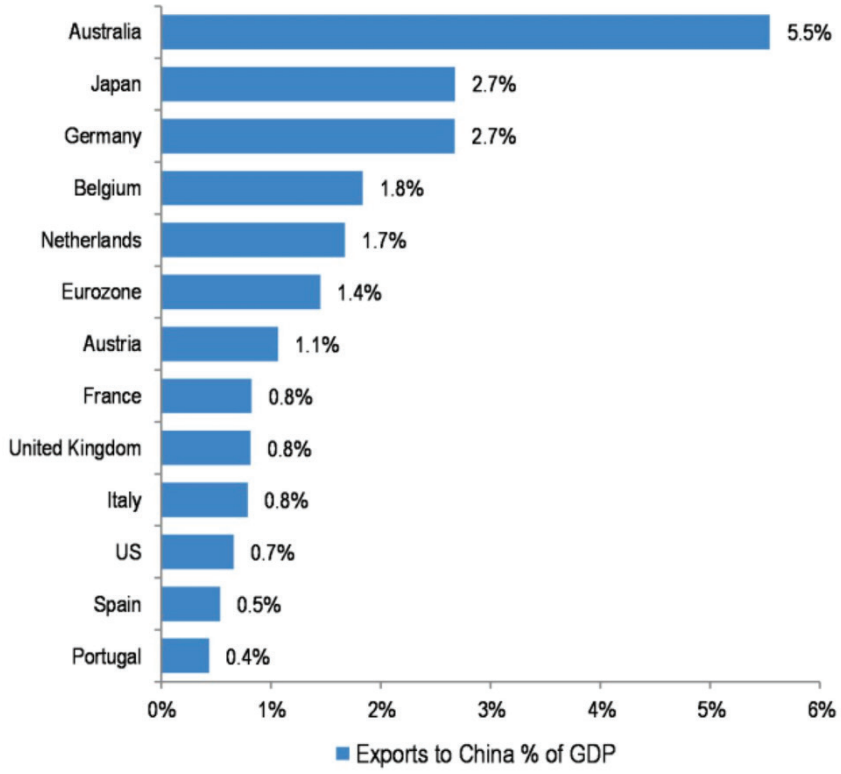
Source: Bloomberg

If Trump gets himself in a 'vendetta kind of mood', German autos could be one of the fall guys. German companies used the chastening experience of Dieselgate to pivot toward EV technology (while Japan has always been a leading proponent).

Furthermore, if China is trying to catch its breath (even as it shifts toward increased domestic consumption), then German exports, dominated by the auto industry, could feel the pinch from both sides. The US and China are Germany's two largest export partners.



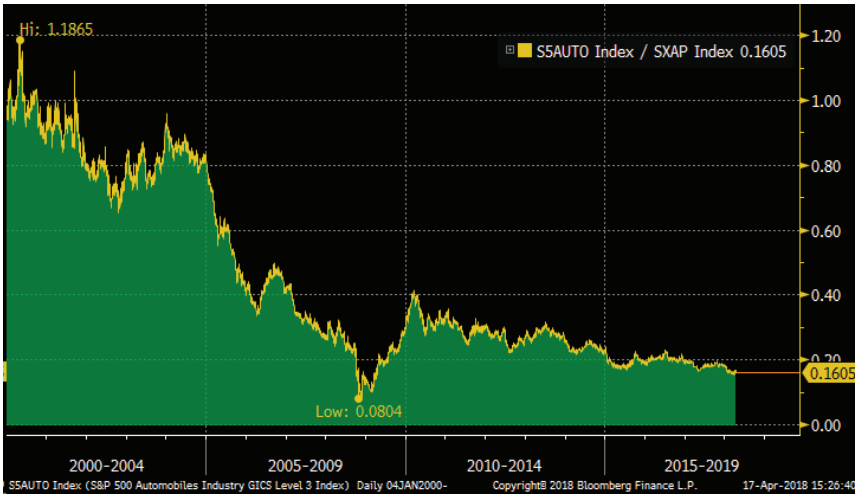
EXPORTS TO CHINA BY % OF GDP



Source: JP Morgan

Yes, US autos are suffering from sales growth that is close to zero and US subprime loan delinquencies that are rocketing higher. Excluding the existential crisis of the 2008 GFC, we're seeing the lowest price ratios in 20 years (S&P 500 Autos sector versus European automakers, which is over 50% German manufacturers).

RATIO OF S5AUTO AND SXAP (S5AUTO IS HIGHLY CONCENTRATED IN FORD, GM AND HARLEY D)



Source: RV TT & Bloomberg

Autos are one of the few areas where US equities have significantly underperformed their European counterparts. This may be a level at which to be long the US names – not for a spectacular recovery in the US, but for a peak in the German growth cycle.

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P.S.

It would be unfair to leave you without throwing in this tasty morsel for you to think about...

We've previously talked about the rise in US 3-month LIBOR-OIS spread and looked at the ULBR ETN, basically mimicking LIBOR's moves. But, while this may be good, it is only as good to the extent we believe LIBOR will continue to trend higher. Wouldn't it be easier if the market had overlooked some knock-on effects of LIBOR's ascent, perhaps one that will surface in earnings as they come due over the next six to twelve months?

LIBOR is more than just the rate charged by banks lending to one another in the offshore funding markets. It is the standard floating rate used on floating rate loans. Corporates, especially those with lower quality balance sheets, often borrow heavily using floating rate debt tied to LIBOR (well, LIBOR plus a spread: A company might borrow at LIBOR plus 3 percent, or something like that), with a 3-month reset. LIBOR's ascent is a pain-point for companies who have borrowed at floating rates, causing their interest obligations to compound issues with over-levered balance sheets and debt repayment issues.

We'll give you two ways to play this. First, we note that U.S. companies in certain sectors are uniquely exposed. The sector with the heaviest reliance on floating-rate debt, leaving them with the greatest exposure to a rising 3 month LIBOR-OIS, are the **utilities**. One way to capitalize this dynamic, namely the market's eventual recognition of the deleterious impact rising LIBOR is having on these companies balance sheets (as companies receive downgrades, report earnings with precarious interest coverage levels, or even go into technical default), would be to short the utilities sector as debt servicing costs become increasingly imposing, stripping incremental capital invested in these companies of productivity as the debt load gets even worse. **This can be done by taking a short position or buying puts (preferred approach) on XLU, the Utilities Select Sector SPDR Fund.** If you choose to buy puts, make sure you buy longer-dated options to allow sufficient time for ratings downgrades and earnings that expose these stocks vulnerability to the last few months' rise in LIBOR.

XLU (US UTILITIES): THE TREND OF TRUTH



Source: RV TT & Bloomberg

QE and QE2 had the impact of levitating the prices of virtually all financial assets, aided by the rise of passive investing in which ETFs track the major indices, investing in stocks irrespective of negative earnings and imposing debt. In fact, at the end of 2016, **nearly 34% of companies in the Russell 2000 were making net losses.** QE made cheap, accessible floating rate debt abundant to fund the walking dead, prolonging these companies' travel to meet their maker in some Delaware courtroom. According to Goldman Sachs, **nearly half of the debt incurred by Russell 2000 companies is the floating-rate kind – at face value, that's nearly $340 billion worth.** Sure, some of this is hedged, but hedging costs money and doesn't last (all hedges have an expiration debt). Moreover, **20% of Russell 2000 companies' interest expense exceeds EBIT.** These companies have average interest coverage ratios of around -5-to-1. How to play? **Short the Russell 2000 or, better yet, buy yourself some out-of-the-money put options.**

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